Ch. 14 HW #2 Pt. 3

Principles of Microeconomics

November 30, 2025

Instructions

These come from the Questions for Review section of Ch. 14 in Mankiw. They're meant to be a refresher after Thanksgiving break.

Questions for Review

1. What is marginal product, and what is meant by diminishing marginal product?

2. Draw a production function that exhibits diminishing marginal product of labor. Draw the associated total-cost curve. (In both cases, be sure to label the axes.) Explain the shapes of the two curves you have drawn.

3. Define **total cost, average total cost,** and **marginal cost.** How are they related?

4. Draw the marginal-cost and average-total-cost curves for a typical firm. Explain why the curves have the shapes they do and why they intersect where they do.